Alphabet Inc.

Can Gemini 4 Argon Recharge Google's Mojo?

Overweight

GOOG, GOOG US
Price (30 Sep 26):$340.74
Price Target (Dec-27):$420.00

Overweight

GOOGL, GOOGL US
Price (30 Sep 26):$344.08
Price Target (Dec-27):$420.00

Internet - Large Cap / Mid & Small Cap

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On Wednesday, Google announced its new frontier model, Gemini 4 Argon. The model shows frontier performance in complex workflows, cyber defense, and software engineering. According to DeepMind-provided benchmarks, Argon ranks favorably compared to GPT-6 Astra, Claude Fable 5.1, &Claude Opus 5.5 across a wide range of use cases and workflows. While the model is being used extensively inside of Google, the company is only currently rolling it out to a set of trusted cyber defenders & the U.S. government through the voluntary process for pre-release model access. Importantly, Argon's output token limit per response is an industry-leading 1M tokens, compared to what we believe is 128K for other leading models. And Arena AI suggests that Argon's price per task is significantly lower than GPT-6.1 Sol & Claude Opus 5.5, placing Argon on the Pareto frontier. We recognize that Bloomberg yesterday reported on some internal employee skepticism around Argon's real-world performance, but we expect rapid model iteration, including model releases, which Sundar has previously indicated would come at an almost monthly cadence. **While we believe it is critical for Google to re-establish itself at the frontier and as an AI leader for both the industry and investors, Gemini 4 must also strengthen core Google products such as Search, Cloud, Gemini, & many others, and serve as the foundation for new products, including agents.**

Google has been a source of funds over the past few months, with shares down -15% from their May highs, compared to the SPX +3%, AMZN -8%, & META +18%. The primary factors include Google slipping off the frontier, iterating on product more slowly & quietly than competitors, & facing tougher 2H Search comps & margin headwinds. Heavy AI infrastructure buildout remains in focus w/the 2026 capex guide at $195B-$205B, & we project an 85% increase in 2027 to $378B in capex, likely shifting Google to significant negative FCF next year—we model a loss of ($115B). However, we believe Google will continue to show the returns on AI spending, coming off 17% Search growth & 82% Cloud growth in 2Q.

While it's very early, we're encouraged by Gemini 4 Argon's initial benchmarks and price/performance, and we expect the model to further strengthen ahead of the broader release & with more frequent iterations. **We continue to believe that Google has all the critical pieces to lead in AI through its full stack offering including 1P silicon/chips, a return to frontier models, strong Cloud momentum, data, & distribution across 5 products with 3B+ users and 14 products with 1B+ users.** We reiterate our Overweight rating & our $420 December 2027 PT is based on ~25x our 2028E GAAP EPS of $16.66.

What's Ailing Google?

- **Frontier Sustainability.** We believe investors have been concerned about Google's ability to compete at the frontier, with both the pace & perceived quality of new model releases lagging that of peers in recent months. These concerns have been amplified by reported AI talent departures & leadership changes across Google DeepMind, as well as debates on whether the breadth of Google's compute demands—including Cloud, internal products, & ongoing model training—creates added complexity around compute

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allocation & prioritization versus more AI-singular competitors. We believe the Gemini 4 Argon announcement should help address that concern, with the model at the frontier across several benchmarks, and at the Pareto frontier of intelligence vs cost. The said, Argon is still only available to an initial cohort of testers, & investors will likely remain focused on the cadence of model releases & the quality of real-world model performance.

- **Quieter Product Launches.** Google continues to ship a high volume of AI products, features, & enhancements across its ecosystem. Notable examples this year include the rollout of Personal Intelligence across Gemini & Search, multimodal model releases across image, video, & music, the launch of Gemini Spark, & a steady cadence of AI feature expansion across Search, Gmail & Workspace, Maps, YouTube, & other core products. However, Google has struggled to translate ongoing product velocity into splashy releases that resonate with consumers, capture sustained mindshare, & meaningfully drive sentiment around AI leadership.
- **Challenging 2H Setup Alongside Growing Agentic Disruption Concerns.** Coming out of 2Q, investors have been focused on a tougher setup for Search growth as comps get 5pts tougher through 2H26. At the same time, 3P compute capacity rentals (w/SPCX), depreciation, data center operations costs, AI & Cloud hires, AI product marketing, & the Wiz acquisition could pressure the P&L, raising concerns around 2H operating margins. More fundamentally, the recent traction of consumer agents (i.e. Muse, Grok Bot, Instinct) has reignited the debate around Search disruption risk. While AI has proven to be expansionary to Search thus far, consumer adoption of agents is still very early, and has the potential to pose a more meaningful risk if agents increasingly handle transactions for consumers, including across high-value verticals like retail & travel.

What Gets It Going?

- **Gemini 4.** Initial benchmarks for Gemini 4 Argon are strong & likely position Google back to the frontier. Importantly, Argon is likely still an early Gemini 4 model, w/Google DeepMind's new chief Koray Kavukcuoglu recently suggesting (9/24) that the company would release an early version as soon as possible, and we would expect continued improvement as the broader Gemini 4 family rolls out. Argon is also not yet broadly integrated across Google's core surfaces, and deeper integration into Search, Cloud, Gemini, & agentic products should strengthen fundamentals.
- **Monthly Model Cadence.** Google has moved to a roughly monthly model update cadence, but this is for Flash — its lighter-weight tier — not the Pro model that we believe is more relevant for coding & agentic work. Recent releases include Gemini 3.8 Flash & Flash Cyber (9/2), Gemini 3.8 Live & Live Extended Thinking (9/15) for real-time dialogue, Gemini 3.8 Flash TTS / Flash-Lite TTS (9/23) for expressive & high-throughput speech, & Gemini Live with Live Avatar (9/24). We believe sustained updates across Flash & its variants have helped maintain product progression between frontier releases, but the launch of Gemini 4 Argon should mark the first step toward faster iteration on larger, more intelligent models, a key focal point for investors. We note that at 2Q earnings management said that releasing models at almost a monthly cadence is part of the roadmap as Google builds Gemini 4 and iterates on top of it.
- **Consumer + Enterprise Agentic Products.** Agent competition has heated up as Muse, Grok Bot, & Instinct set a high bar for end-to-end "do the work" experiences. Google's competing surfaces include Gemini Spark, Antigravity, AI Mode / Search agents, & Gemini Enterprise on Cloud. Usage proof points are already there — Gemini app 1B+ MAU, Antigravity WAU ~2.4M in 2Q, Gemini Enterprise paid MAUs +40% Q/Q in 1Q. But the gap is still the "wow" factor vs. peers. We believe Google has the talent, capabilities, & compute, but needs a bigger step-up in agentic products that feels like must-use rather than just available.
- **Search Growth.** Search & other ads remains the largest revenue stream & the primary

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profit contributor—1Q +19% reported Y/Y, 2Q +17% Y/Y to $63.3B — with AI Mode >1B MAU. Comps get tougher in 2H, as management noted during the 2Q call. Even so, we think 3Q needs solid mid-teens+ growth to push back on the declining Search narrative—we project 14% reported in 3Q and 13% in 4Q. We continue to think AI is expansionary to Search, but Search also needs to evolve to be competitive with agentic platforms.

- **Cloud Growth & Backlog.** This is the cleanest fundamental support, w/2Q Cloud accelerating to +82% Y/Y to $24.8B and 2Q backlog +$52B Q/Q to $514B, w/just over half expected as revenue in the next 24 months. We look for 3Q demand still outrunning supply, backlog converting (not just stacking), & third-party bridge capacity costs staying "modest" as flagged. We model continued acceleration in Cloud growth to +88% reported Y/Y in 3Q & +90% in 4Q.
- **TPU / Accelerator Hardware.** Revenue recognition began in 2Q with the first customer DC deliveries. Existing deals are a small portion in 2026, but ramp exiting the year, w/the vast majority coming in 2027. Incremental hardware dollars that read as a real growth driver—even without a discrete disclosed TPU segment—would validate the full-stack silicon foundation. We believe TPU sales, recognized as gross, could be $4B-$7B in 2026 and more than $30B+ in 2027.

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Model Pages

Figure 1: Alphabet Income Statement

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Gross Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Traffic Acquisition Costs (TAC)	54,900	13,748	14,705	14,876	16,597	59,926	15,228	16,179	16,289.0	17,726.4	65,422.4	71,107.7	77,641.1
Net Revenues excluding TAC	**295,118**	**76,486**	**81,723**	**87,470**	**97,231**	**342,910**	**94,668**	**103,617**	**110,581.0**	**122,905.8**	**431,771.7**	**540,436.8**	**677,261.6**
Other cost of revenues	91,406	22,613	24,334	26,493	29,169	102,609	26,043	29,764	33,727.2	39,944.4	129,478.6	174,561.1	233,655.2
Gross profit	**203,712**	**53,873**	**57,389**	**60,977**	**68,062**	**240,301**	**68,625**	**73,853**	**76,853.8**	**82,961.4**	**302,293.2**	**365,875.7**	**443,606.3**
Operating expenses			R&D ex. Waymo comp charge		16,472								
Research & development	49,326	13,556	13,808	15,151	18,572	61,087	17,032	18,219	19,241.1	20,771.1	75,263.2	89,172.1	104,975.5
Sales & marketing	27,808	6,172	7,101	7,205	8,215	28,693	7,606	8,403	8,625.3	9,709.6	34,343.9	40,532.8	46,731.0
General & administrative	14,188	3,539	5,209	3,936	5,341	18,025	4,291	6,461	5,418.5	6,882.7	23,053.2	25,130.3	26,684.1
Other 1x item, incl. Impairment charge	0	0	0	3,457	0	3,457	0	0	0.0	0.0	0.0		
Total operating expenses	91,322	23,267	26,118	29,749	32,128	111,262	28,929	33,083	33,284.9	37,363.4	132,660.2	154,835.1	178,390.7
GAAP Operating income	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,568.9**	**45,598.0**	**169,632.9**	**211,040.6**	**265,215.6**
Non-GAAP Operating income	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,568.9**	**45,598.0**	**169,632.9**	**211,040.6**	**265,215.6**
JPMe Adjusted Operating income	**135,175**	**36,122**	**37,269**	**41,053**	**43,005**	**157,449**	**46,447**	**48,727**	**51,862.5**	**54,201.4**	**201,237.9**	**247,520.1**	**307,205.8**
Other income, expense and other, net	7,425	11,183	2,662	12,759	3,183	29,787	37,716	97,983	537.3	594.0	136,830.3	(1,807.1)	(7,880.2)
Income before taxes	119,815	41,789	33,933	43,987	39,117	158,826	77,412	138,753	44,106.2	46,192.1	306,463.2	209,233.4	257,335.4
Provision for income taxes	19,697	7,249	5,737	9,008	4,662	26,656	14,834	26,560	7,498.0	7,852.6	56,744.7	35,569.7	43,747.0
Effective tax rate	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*19.2%*	*19.1%*	*17.0%*	*17.0%*	*18.5%*	*17.0%*	*17.0%*
GAAP Net Income	**100,118**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170**	**62,578**	**112,193**	**36,608.1**	**38,339.4**	**249,718.5**	**173,663.8**	**213,588.4**
Preferred stock dividends								86	86.0	86.0	258.0	344.0	344.0
GAAP Net Income available to common stockholders	**100,118**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170**	**62,578**	**112,107**	**36,522.1**	**38,253.4**	**249,460.5**	**173,319.8**	**213,244.4**
GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$5.11**	**$9.11**	**$2.94**	**$3.06**	**$20.16**	**$13.67**	**$16.66**
Diluted shares outstanding	12,447	12,291	12,198	12,203	12,228	12,230	12,238	12,309	12,440.0	12,518.3	12,376.3	12,676.0	12,802.8
Alphabet Non-GAAP reconciliation													
Adj. for One-time item	0	0	0	3,457	0	3,457	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Net Income (loss)	**100,118**	**34,540**	**28,196**	**38,436**	**34,455**	**135,627**	**62,578.0**	**112,107.0**	**36,522.1**	**38,253.4**	**249,460.5**	**173,319.8**	**213,244.4**
Non-GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$3.15**	**$2.82**	**$11.09**	**$5.11**	**$9.11**	**$2.94**	**$3.06**	**$20.16**	**$13.67**	**$16.66**
Non-recurring items:													
Stock compensation expense	22,785	5,516	5,998	6,368	7,071	24,953	6,751.0	7,957.0	8,293.6	8,603.4	31,605.0	36,479.5	41,990.2
One-time items	(2,943)	(10,182)	(1,612)	(8,226)	(1,973)	(21,993)	(36,335.0)	(96,553.0)	1,340.5	1,335.5	(130,212.1)	9,215.3	13,050.7
Tax Effect	(3,208)	809	(742)	380	(608)	(159)	5,669.0	16,959.0	(1,637.8)	(1,689.6)	19,300.6	(7,768.1)	(9,357.0)
Adjusted Net Income (loss)	**116,752**	**30,683**	**31,840**	**33,501**	**38,945**	**134,971**	**38,663.0**	**40,470.0**	**44,518.4**	**46,502.7**	**170,154.0**	**211,246.4**	**258,928.4**
Adj. EPS - Diluted	**$9.38**	**$2.50**	**$2.61**	**$2.75**	**$3.18**	**$11.04**	**$3.16**	**$3.29**	**$3.58**	**$3.71**	**$13.75**	**$16.67**	**$20.22**
Diluted shares outstanding	12,447	12,291	12,198	12,203	12,228	12,230	12,238.0	12,309.0	12,440.0	12,518.3	12,376.3	12,676.0	12,802.8
Adj. EBITDA Reconciliation													
Operating income (adj. for 1x item as noted)	112,390	30,606	31,271	34,685	35,934	132,496	39,696	40,770	43,568.9	45,598.0	169,632.9	211,040.6	265,215.6
Depreciation & amortization	15,311	4,487	4,998	5,611	6,040	21,136	6,482	7,104	8,957.1	10,815.7	33,358.8	59,988.5	101,589.2
Stock compensation expense	22,785	5,516	5,998	6,368	7,071	24,953	6,751	7,957	8,293.6	8,603.4	31,605.0	36,479.5	41,990.2
Adj. EBITDA	**150,486**	**40,609**	**42,267**	**46,664**	**49,045**	**178,585**	**52,929**	**55,831**	**60,819.5**	**65,017.2**	**234,596.7**	**307,508.6**	**408,795.1**
Year/Year Growth	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26A**	**6/26A**	**9/26E**	**12/26E**	**2026E**	**2027E**	**2028E**
Gross Revenues (FXHN)	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***23.2%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Gross Revenues	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***24.2%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
Traffic Acquisition Costs (TAC)	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*10.0%*	*9.5%*	*6.8%*	*9.2%*	*8.7%*	*9.2%*
Net Revenues	***15.1%***	***13.2%***	***14.5%***	***17.3%***	***19.1%***	***16.2%***	***23.8%***	***26.8%***	***26.4%***	***26.4%***	***25.9%***	***25.2%***	***25.3%***
Other cost of revenues	*10.9%*	*8.9%*	*10.0%*	*16.4%*	*13.2%*	*12.3%*	*15.2%*	*22.3%*	*27.3%*	*36.9%*	*26.2%*	*34.8%*	*33.9%*
Gross profit	***17.0%***	***15.0%***	***16.6%***	***17.7%***	***21.9%***	***18.0%***	***27.4%***	***28.7%***	***26.0%***	***21.9%***	***25.8%***	***21.0%***	***21.2%***
Research & development	*8.6%*	*13.9%*	*16.4%*	*21.7%*	*41.6%*	*23.8%*	*25.6%*	*31.9%*	*27.0%*	*11.8%*	*23.2%*	*18.5%*	*17.7%*
Sales & marketing	*-0.4%*	*-4.0%*	*4.5%*	*-0.3%*	*11.6%*	*3.2%*	*23.2%*	*18.3%*	*19.7%*	*18.2%*	*19.7%*	*18.0%*	*15.3%*
General & administrative	*-13.6%*	*17.0%*	*64.9%*	*9.4%*	*21.2%*	*27.0%*	*21.2%*	*24.0%*	*37.7%*	*28.9%*	*27.9%*	*9.0%*	*6.2%*
Total operating expenses	***1.7%***	***9.0%***	***19.8%***	***27.8%***	***29.1%***	***21.8%***	***24.3%***	***26.7%***	***11.9%***	***16.3%***	***19.2%***	***16.7%***	***15.2%***
GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***30.4%***	***39.5%***	***26.9%***	***31.5%***	***24.4%***	***25.7%***
Non-GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***30.4%***	***39.5%***	***26.9%***	***31.5%***	***24.4%***	***25.7%***
JPMe Adjusted Operating income	***26.6%***	***17.5%***	***12.0%***	***19.5%***	***16.9%***	***16.5%***	***28.6%***	***30.7%***	***26.3%***	***26.0%***	***27.8%***	***23.0%***	***24.1%***
Depreciation & amortization	*28.2%*	*31.5%*	*34.8%*	*40.8%*	*43.6%*	*38.0%*	*44.5%*	*42.1%*	*59.6%*	*79.1%*	*57.8%*	*79.8%*	*69.3%*
Stock compensation expense	*1.4%*	*4.8%*	*2.3%*	*8.9%*	*21.7%*	*9.5%*	*22.4%*	*32.7%*	*30.2%*	*21.7%*	*26.7%*	*15.4%*	*15.1%*
EBITDA	*24.9%*	*18.9%*	*14.2%*	*21.7%*	*19.7%*	*18.7%*	*30.3%*	*32.1%*	*30.3%*	*32.6%*	*31.4%*	*31.1%*	*32.9%*
GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*81.2%*	*297.6%*	*4.4%*	*11.0%*	*88.7%*	*-30.5%*	*23.0%*
GAAP EPS	***38.7%***	***48.8%***	***22.3%***	***35.3%***	***31.1%***	***34.4%***	***82.0%***	***294.0%***	***2.4%***	***8.4%***	***86.5%***	***-32.2%***	***21.8%***
Non-GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*46.1%*	*29.8%*	*35.5%*	*81.2%*	*297.6%*	*-5.0%*	*11.0%*	*83.9%*	*-30.5%*	*23.0%*
Non-GAAP EPS	*38.7%*	*48.8%*	*22.3%*	*48.7%*	*31.1%*	*37.9%*	*82.0%*	*294.0%*	*-6.8%*	*8.4%*	*81.8%*	*-32.2%*	*21.8%*
JPMe Adjusted Net Income (loss)	*22.5%*	*15.5%*	*8.0%*	*13.4%*	*25.0%*	*15.6%*	*26.0%*	*27.1%*	*32.9%*	*19.4%*	*26.1%*	*24.2%*	*22.6%*
JPMe Adjusted EPS	*25.2%*	*17.7%*	*10.7%*	*15.4%*	*26.2%*	*17.7%*	*26.6%*	*26.0%*	*30.4%*	*16.6%*	*24.6%*	*21.2%*	*21.4%*
GAAP expenses as % of Net Revenues													
Other cost of revenues (non-TAC)	31.0%	29.6%	29.8%	30.3%	30.0%	29.9%	27.5%	28.7%	30.5%	32.5%	30.0%	32.3%	34.5%
Research & development	16.7%	17.7%	16.9%	17.3%	19.1%	17.8%	18.0%	17.6%	17.4%	16.9%	17.4%	16.5%	15.5%
Sales & marketing	9.4%	8.1%	8.7%	8.2%	8.4%	8.4%	8.0%	8.1%	7.8%	7.9%	8.0%	7.5%	6.9%
General & administrative	4.8%	4.6%	6.4%	4.5%	5.5%	5.3%	4.5%	6.2%	4.9%	5.6%	5.3%	4.7%	3.9%
Stock compensation expense	7.7%	7.2%	7.3%	7.3%	7.3%	7.3%	7.1%	7.7%	7.5%	7.0%	7.3%	6.8%	6.2%
GAAP expenses as % of Gross Revenues													
Traffic Acquisition Costs (TAC)	15.7%	15.2%	15.2%	14.5%	14.6%	14.9%	13.9%	13.5%	12.8%	12.6%	13.2%	11.6%	10.3%
Other cost of revenues (non-TAC)	26.1%	25.1%	25.2%	25.9%	25.6%	25.5%	23.7%	24.8%	26.6%	28.4%	26.0%	28.5%	31.0%
Research & development	14.1%	15.0%	14.3%	14.8%	16.3%	15.2%	15.5%	15.2%	15.2%	14.8%	15.1%	14.6%	13.9%
Sales & marketing	7.9%	6.8%	7.4%	7.0%	7.2%	7.1%	6.9%	7.0%	6.8%	6.9%	6.9%	6.6%	6.2%
General & administrative	4.1%	3.9%	5.4%	3.8%	4.7%	4.5%	3.9%	5.4%	4.3%	4.9%	4.6%	4.1%	3.5%
Stock compensation expense	6.5%	6.1%	6.2%	6.2%	6.2%	6.2%	6.1%	6.6%	6.5%	6.1%	6.4%	6.0%	5.6%
Margin as % of Gross Revenues													
Gross margin	58.2%	59.7%	59.5%	59.6%	59.8%	59.7%	62.4%	61.6%	60.6%	59.0%	60.8%	59.8%	58.8%
GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
Non-GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
JPMe Adjusted Operating margin	**38.6%**	**40.0%**	**38.6%**	**40.1%**	**37.8%**	**39.1%**	**42.3%**	**40.7%**	**40.9%**	**38.5%**	**40.5%**	**40.5%**	**40.7%**
Net margin	28.6%	38.3%	29.2%	34.2%	30.3%	32.8%	56.9%	93.6%	28.8%	27.2%	50.2%	28.3%	28.2%
Adj. EBITDA	**43.0%**	**45.0%**	**43.8%**	**45.6%**	**43.1%**	**44.3%**	**48.2%**	**46.6%**	**47.9%**	**46.2%**	**47.2%**	**50.3%**	**54.2%**
Operating Leverage/Flow-through	**70.5%**	**66.6%**	**45.1%**	**59.0%**	**46.4%**	**53.2%**	**62.7%**	**58.0%**	**57.7%**	**59.6%**	**59.4%**	**63.8%**	**70.7%**

Source: J.P. Morgan estimates, Company data.

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Figure 2: Alphabet Revenue Drivers

$ in millions, except per share amounts

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Gross Revenue Summary													
Google Search & other	**198,084.0**	**50,702**	**54,190**	**56,567**	**63,073**	**224,532.0**	**60,399**	**63,271**	**64,710.6**	**71,047.2**	**259,427.8**	**289,370.8**	**322,648.4**
Y/Y growth	***13.2%***	***9.8%***	***11.7%***	***14.5%***	***16.7%***	***13.4%***	***19.1%***	***16.8%***	***14.4%***	***12.6%***	***15.5%***	***11.5%***	***11.5%***
FXHN Y/Y growth (estimate)	***14.3%***	***12.1%***	***11.0%***	***12.8%***	***15.1%***	***12.8%***	***15.1%***	***15.8%***	***15.0%***	***13.0%***	***14.7%***	***12.5%***	***11.5%***
YouTube ads	**36,147.0**	**8,927**	**9,796**	**10,261**	**11,383**	**40,367.0**	**9,883**	**11,055**	**11,227.9**	**12,368.3**	**44,534.1**	**48,128.8**	**52,460.4**
Y/Y growth	***14.7%***	***10.3%***	***13.1%***	***15.0%***	***8.7%***	***11.7%***	***10.7%***	***12.9%***	***9.4%***	***8.7%***	***10.3%***	***8.1%***	***9.0%***
FXHN Y/Y growth (estimate)	***15.8%***	***12.6%***	***12.3%***	***13.3%***	***7.2%***	***11.2%***	***7.0%***	***12.0%***	***10.0%***	***9.0%***	***9.5%***	***9.0%***	***9.0%***
Google Properties	**234,231.0**	**59,629**	**63,986**	**66,828**	**74,456**	**264,899.0**	**70,282**	**74,326**	**75,938.4**	**83,415.5**	**303,961.9**	**337,499.6**	**375,108.8**
Y/Y growth	*13.4%*	*9.9%*	*11.9%*	*14.6%*	*15.4%*	*13.1%*	*17.9%*	*16.2%*	*13.6%*	*12.0%*	*14.7%*	*11.0%*	*11.1%*
FXHN Y/Y growth (estimate)	***14.5%***	***12.2%***	***11.2%***	***12.9%***	***13.8%***	***12.6%***	***13.9%***	***15.3%***	***14.2%***	***12.4%***	***13.9%***	***12.0%***	***11.1%***
Q/Q growth		*-7.6%*	*7.3%*	*4.4%*	*11.4%*		*-5.6%*	*5.8%*	*2.2%*	*9.8%*			
Google Network Members' properties	**30,359.0**	**7,256**	**7,354**	**7,354**	**7,828**	**29,792.0**	**6,971**	**7,303**	**7,315.4**	**7,725.2**	**29,314.6**	**28,483.7**	**27,914.0**
Y/Y growth	*-3.0%*	*-2.1%*	*-1.2%*	*-2.6%*	*-1.6%*	*-1.9%*	*-3.9%*	*-0.7%*	*-0.5%*	*-1.3%*	*-1.6%*	*-2.8%*	*-2.0%*
FXHN Y/Y growth (estimate)	***-2.1%***	***-0.1%***	***-1.9%***	***-4.1%***	***-3.0%***	***-2.3%***	***-7.1%***	***-1.5%***	***0.0%***	***-1.0%***	***-2.4%***	***-2.0%***	***-2.0%***
Q/Q growth		*-8.8%*	*1.4%*	*0.0%*	*6.4%*		*-10.9%*	*4.8%*	*0.2%*	*5.6%*			
Google advertising	**264,590.0**	**66,885**	**71,340**	**74,182**	**82,284**	**294,691.0**	**77,253**	**81,629**	**83,253.8**	**91,140.7**	**333,276.5**	**365,983.3**	**403,022.8**
Y/Y growth	*11.2%*	*8.5%*	*10.4%*	*12.6%*	*13.6%*	*11.4%*	*15.5%*	*14.4%*	*12.2%*	*10.8%*	*13.1%*	*9.8%*	*10.1%*
FXHN Y/Y growth	***12.3%***	***10.7%***	***9.7%***	***10.9%***	***12.0%***	***10.9%***	***11.6%***	***13.5%***	***12.8%***	***11.1%***	***12.2%***	***10.8%***	***10.1%***
Google subscriptions, platforms, and devices	**40,340.0**	**10,379**	**11,203**	**12,870**	**13,578**	**48,030.0**	**12,384**	**12,911**	**14,594.8**	**15,430.0**	**55,319.8**	**61,430.5**	**68,187.9**
Y/Y growth	*16.3%*	*18.8%*	*20.3%*	*20.8%*	*16.7%*	*19.1%*	*19.3%*	*15.2%*	*13.4%*	*13.6%*	*15.2%*	*11.0%*	*11.0%*
FXHN Y/Y growth (estimate)	***17.4%***	***21.2%***	***19.5%***	***18.9%***	***15.1%***	***18.5%***	***15.3%***	***14.3%***	***14.0%***	***14.0%***	***14.4%***	***12.0%***	***11.0%***
Q/Q growth		*-10.8%*	*7.9%*	*14.9%*	*5.5%*		*-8.8%*	*4.3%*	*13.0%*	*5.7%*			
Google Services total	**304,930.0**	**77,264**	**82,543**	**87,052**	**95,862**	**342,721.0**	**89,637**	**94,540**	**97,848.6**	**106,570.7**	**388,596.3**	**427,413.8**	**471,210.7**
Y/Y growth	*11.9%*	*9.8%*	*11.7%*	*13.8%*	*14.0%*	*12.4%*	*16.0%*	*14.5%*	*12.4%*	*11.2%*	*13.4%*	*10.0%*	*10.2%*
FXHN Y/Y growth	***13.0%***	***12.0%***	***10.9%***	***12.0%***	***12.4%***	***11.9%***	***12.1%***	***13.6%***	***13.0%***	***11.5%***	***12.5%***	***10.9%***	***10.2%***
Google Cloud	**43,229.0**	**12,260**	**13,624**	**15,157**	**17,664**	**58,705.0**	**20,028**	**24,768**	**28,495.2**	**33,561.6**	**106,852.8**	**181,649.7**	**281,557.0**
Y/Y growth	***30.6%***	***28.1%***	***31.7%***	***33.5%***	***47.8%***	***35.8%***	***63.4%***	***81.8%***	***88.0%***	***90.0%***	***82.0%***	***70.0%***	***55.0%***
Q/Q growth		*2.6%*	*11.1%*	*11.3%*	*16.5%*		*13.4%*	*23.7%*	*15.0%*	*17.8%*			
Other Bets	**1,648.0**	**450**	**373**	**344**	**370**	**1,537.0**	**411**	**382**	**422.9**	**432.3**	**1,648.2**	**1,869.2**	**2,134.9**
Y/Y growth	*7.9%*	*-9.1%*	*2.2%*	*-11.3%*	*-7.5%*	*-6.7%*	*-8.7%*	*2.4%*	*22.9%*	*16.8%*	*7.2%*	*13.4%*	*14.2%*
Hedging gains (losses)	**211.0**	**260**	**(112)**	**(207)**	**(68)**	**(127.0)**	**(180)**	**106**	**103.3**	**67.6**	**96.8**	**611.9**	**0.0**
Alphabet total revenues (gross)	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***24.2%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
FXHN Y/Y growth	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***23.2%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Q/Q growth		*-6.5%*	*6.9%*	*6.1%*	*11.2%*		*-3.5%*	*9.0%*	*5.9%*	*10.8%*			
Seasonality		22.4%	23.9%	25.4%	28.3%		22.1%	24.1%	25.5%	28.3%			
Gross Revenue Share by Segment													
Google Search & other	56.6%	56.2%	56.2%	55.3%	55.4%	55.7%	55.0%	52.8%	51.0%	50.5%	52.2%	47.3%	42.7%
YouTube ads	10.3%	9.9%	10.2%	10.0%	10.0%	10.0%	9.0%	9.2%	8.8%	8.8%	9.0%	7.9%	6.9%
Google Network Members' properties	8.7%	8.0%	7.6%	7.2%	6.9%	7.4%	6.3%	6.1%	5.8%	5.5%	5.9%	4.7%	3.7%
Google advertising	**75.6%**	**74.1%**	**74.0%**	**72.5%**	**72.3%**	**73.2%**	**70.3%**	**68.1%**	**65.6%**	**64.8%**	**67.0%**	**59.8%**	**53.4%**
Google subscriptions, platforms, and devices	11.5%	11.5%	11.6%	12.6%	11.9%	11.9%	11.3%	10.8%	11.5%	11.0%	11.1%	10.0%	9.0%
Google Services total	**87.1%**	**85.6%**	**85.6%**	**85.1%**	**84.2%**	**85.1%**	**81.6%**	**78.9%**	**77.1%**	**75.8%**	**78.2%**	**69.9%**	**62.4%**
Google Cloud	**12.4%**	**13.6%**	**14.1%**	**14.8%**	**15.5%**	**14.6%**	**18.2%**	**20.7%**	**22.5%**	**23.9%**	**21.5%**	**29.7%**	**37.3%**
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%
Hedging gains (losses)	0.1%	0.3%	-0.1%	-0.2%	-0.1%	0.0%	-0.2%	0.1%	0.1%	0.0%	0.0%	0.1%	0.0%
TAC Analysis													
Total Traffic Acquisition Costs (TAC)	**54,900.0**	**13,748**	**14,705**	**14,876**	**16,597**	**59,926.0**	**15,228**	**16,179**	**16,289.0**	**17,726.4**	**65,422.4**	**71,107.7**	**77,641.1**
Y/Y growth	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*10.0%*	*9.5%*	*6.8%*	*9.2%*	*8.7%*	*9.2%*
TAC as a % of Total Gross Adv. Revenues	**20.7%**	**20.6%**	**20.6%**	**20.1%**	**20.2%**	**20.3%**	**19.7%**	**19.8%**	**19.6%**	**19.4%**	**19.6%**	**19.4%**	**19.3%**
TAC as a % of Total Ads Gross Revs ex. YT	**24.0%**	**23.7%**	**23.9%**	**23.3%**	**23.4%**	**23.6%**	**22.6%**	**22.9%**	**22.6%**	**22.5%**	**22.7%**	**22.4%**	**22.1%**
Net Revenue Summary													
Google Properties - Net Revenues	200,159.4	50,756.2	54,394.4	56,815.6	63,197.5	225,163.6	59,470.6	62,937.2	64,258.2	70,555.9	257,221.9	284,544.7	315,257.5
Y/Y growth	*13.0%*	*9.6%*	*11.1%*	*14.2%*	*14.7%*	*12.5%*	*17.2%*	*15.7%*	*13.1%*	*11.6%*	*14.2%*	*10.6%*	*10.8%*
Q/Q growth		*-7.9%*	*7.2%*	*4.5%*	*11.2%*		*-5.9%*	*5.8%*	*2.1%*	*9.8%*			
Google Network Members' Properties - Net Revenue	9,530.6	2,380.9	2,240.6	2,490.4	2,489.5	9,601.4	2,554.4	2,512.8	2,706.7	2,858.3	10,632.2	10,330.9	10,124.2
Y/Y growth	*-2.9%*	*-1.0%*	*-0.6%*	*5.0%*	*-0.3%*	*0.7%*	*7.3%*	*12.1%*	*8.7%*	*14.8%*	*10.7%*	*-2.8%*	*-2.0%*
Google Advertising - Net Revenues	**209,690.0**	**53,137.0**	**56,635.0**	**59,306.0**	**65,687.0**	**234,765.0**	**62,025.0**	**65,450.0**	**66,964.9**	**73,414.3**	**267,854.1**	**294,875.6**	**325,381.8**
Y/Y growth	*12.2%*	*9.1%*	*10.6%*	*13.8%*	*14.0%*	*12.0%*	*16.7%*	*15.6%*	*12.9%*	*11.8%*	*14.1%*	*10.1%*	*10.3%*
Non-Advertising - Net Revenues	**85,428.0**	**23,349.0**	**25,088.0**	**28,164.0**	**31,544.0**	**108,145.0**	**32,643.0**	**38,167.0**	**43,616.1**	**49,491.5**	**163,917.6**	**245,561.2**	**351,879.8**
Y/Y growth	*22.8%*	*23.7%*	*24.7%*	*25.7%*	*31.4%*	*26.6%*	*39.8%*	*52.1%*	*54.9%*	*56.9%*	*51.6%*	*49.8%*	*43.3%*
Alphabet Net Revenues	**295,118.0**	**76,486.0**	**81,723.0**	**87,470.0**	**97,231.0**	**342,910.0**	**94,668.0**	**103,617.0**	**110,581.0**	**122,905.8**	**431,771.7**	**540,436.8**	**677,261.6**
Y/Y growth	*15.1%*	*13.2%*	*14.5%*	*17.3%*	*19.1%*	*16.2%*	*23.8%*	*26.8%*	*26.4%*	*26.4%*	*25.9%*	*25.2%*	*25.3%*
Q/Q growth		*-6.3%*	*6.8%*	*7.0%*	*11.2%*		*-2.6%*	*9.5%*	*6.7%*	*11.1%*			
Seasonality		22.3%	23.8%	25.5%	28.4%		21.9%	24.0%	25.6%	28.5%			
Net Revenue Share by Segment													
Google Properties as % of Alphabet Net Revenues	67.8%	66.4%	66.6%	65.0%	65.0%	65.7%	62.8%	60.7%	58.1%	57.4%	59.6%	52.7%	46.5%
Google Network Members' Properties as % of Alphabet	3.2%	3.1%	2.7%	2.8%	2.6%	2.8%	2.7%	2.4%	2.4%	2.3%	2.5%	1.9%	1.5%
Google Advertising as % of Alphabet Net Revenues	**71.1%**	**69.5%**	**69.3%**	**67.8%**	**67.6%**	**68.5%**	**65.5%**	**63.2%**	**60.6%**	**59.7%**	**62.0%**	**54.6%**	**48.0%**
Google Other & Other Bets as % of Alphabet Net Reven	**28.9%**	**30.5%**	**30.7%**	**32.2%**	**32.4%**	**31.5%**	**34.5%**	**36.8%**	**39.4%**	**40.3%**	**38.0%**	**45.4%**	**52.0%**

($ millions except where noted)	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26A**	**6/26A**	**9/26E**	**12/26E**	**2026E**	**2027E**	**2028E**
MONETIZATION													
Google Search & Other													
Paid Clicks Change													
Y/Y growth	5%	2%	4%	7%	10%	6%	13%						
QTD Y/Y growth		2%	3%	4%	6%		13%						
Cost-per-Click Change													
Y/Y growth	7%	7%	8%	7%	6%	7%	5%						
QTD Y/Y growth		7%	8%	7%	7%		5%						

Source: J.P. Morgan estimates, Company data.

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Figure 3: Alphabet Revenue Drivers (Cont'd)

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Geographic Breakdown													
Alphabet total revenues (gross)	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	*13.9%*	*12%*	*14%*	*16%*	*18%*	*15.1%*	*22%*	*24%*	*24.0%*	*23.5%*	*23.4%*	*23.0%*	*23.4%*
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***23%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Q/Q growth		*-6%*	*7%*	*6%*	*11%*		*-3%*	*9%*	*5.9%*	*10.8%*			
Geographic Breakdown													
United States	**170,447.0**	**43,964**	**46,063**	**48,758**	**55,444**	**194,229.0**	**53,975**	**60,846**	**65,482.0**	**73,796.0**	**254,099.0**	**335,156.5**	**439,725.4**
Y/Y growth	***16.5%***	***13%***	***12%***	***13%***	***17%***	***14.0%***	***23%***	***32%***	***34.3%***	***33.1%***	***30.8%***	***31.9%***	***31.2%***
Q/Q growth		*-7%*	*5%*	*6%*	*14%*		*-3%*	*13%*	*7.6%*	*12.7%*			
U.S. revenues as % of Gross Revenues	48.7%	49%	48%	48%	49%	48.2%	49%	51%	51.6%	52.5%	51.1%	54.8%	58.2%
International	**179,360.0**	**46,010**	**50,477**	**53,795**	**58,452**	**208,734.0**	**56,101**	**58,844**	**61,284.7**	**66,768.7**	**242,998.3**	**275,776.1**	**315,177.3**
Y/Y growth	*11.5%*	*10%*	*16%*	*19%*	*19%*	*16.4%*	*22%*	*17%*	*13.9%*	*14.2%*	*16.4%*	*13.5%*	*14.3%*
FXHN Y/Y growth	*13.3%*	*14%*	*15%*	*16%*	*16%*	*15.5%*	*15%*	*15%*	*14.9%*	*14.8%*	*15.0%*	*14.7%*	*14.3%*
Q/Q growth		*-6%*	*10%*	*7%*	*9%*		*-4%*	*5%*	*4.1%*	*8.9%*			
International revenues as % of Gross Revenues	51.2%	51%	52%	53%	51%	51.8%	51%	49%	48.3%	47.5%	48.9%	45.1%	41.8%
Hedging Gains (Losses)	**211.0**	**260.0**	**(112.0)**	**(207.0)**	**(68.0)**	**(127.0)**	**(180.0)**	**106.0**	**103.3**	**67.6**	**96.8**	**611.9**	**0.0**
Internation Breakdown (excl. Hedge post-1Q17 change)													
EMEA	**102,127.0**	**25,923**	**28,262**	**29,911**	**33,056**	**117,152.0**	**31,468**	**32,501**	**33,099.4**	**36,684.3**	**133,752.6**	**147,645.2**	**164,624.4**
Y/Y growth	*12.2%*	*9%*	*14%*	*17%*	*17%*	*14.7%*	*21%*	*15%*	*10.7%*	*11.0%*	*14.2%*	*10.4%*	*11.5%*
FXHN Y/Y growth	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***12%***	***12.0%***	***12.0%***	***12.0%***	***11.8%***	***11.5%***
Q/Q growth		*-8%*	*9%*	*6%*	*11%*		*-5%*	*3%*	*1.8%*	*10.8%*			
EMEA as a % of Gross Revenues	29.2%	29%	29%	29%	29%	29.1%	29%	27%	26.1%	26.1%	26.9%	24.1%	21.8%
APAC	**56,815.0**	**14,854**	**16,480**	**17,819**	**18,527**	**67,680.0**	**18,288**	**19,317**	**20,965.5**	**21,897.7**	**80,468.2**	**94,875.8**	**112,143.2**
Y/Y growth	*10.3%*	*12%*	*19%*	*22%*	*22%*	*19.1%*	*23%*	*17%*	*17.7%*	*18.2%*	*18.9%*	*17.9%*	*18.2%*
FXHN Y/Y growth	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***19%***	***19.0%***	***19.0%***	***19.8%***	***19.2%***	***18.2%***
Q/Q growth		*-2%*	*11%*	*8%*	*4%*		*-1%*	*6%*	*8.5%*	*4.4%*			
APAC as a % of Gross Revenues	16.2%	16%	17%	17%	16%	16.8%	17%	16%	16.5%	15.6%	16.2%	15.5%	14.9%
Other Americas (Canada and LatAm)	**20,418.0**	**5,233**	**5,735**	**6,065**	**6,869**	**23,902.0**	**6,345**	**7,026**	**7,219.8**	**8,186.7**	**28,777.4**	**33,255.1**	**38,409.7**
Y/Y growth	*11.5%*	*12%*	*16%*	*19%*	*20%*	*17.1%*	*21%*	*23%*	*19.0%*	*19.2%*	*20.4%*	*15.6%*	*15.5%*
FXHN Y/Y growth	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***17%***	***17.0%***	***17.0%***	***16.5%***	***16.0%***	***15.5%***
Q/Q growth		*-9%*	*10%*	*6%*	*13%*		*-8%*	*11%*	*2.8%*	*13.4%*			
Other Americas as a % of Gross Revenues	5.8%	6%	6%	6%	6%	5.9%	6%	6%	5.7%	5.8%	5.8%	5.4%	5.1%
Foreign Exchange Impact on Gross Revenue													
Total Gross Revenue	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	***13.9%***	***12%***	***14%***	***16%***	***18%***	***15.1%***	***22%***	***24%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
Q/Q growth		***-6%***	***7%***	***6%***	***11%***		***-3%***	***9%***	***5.9%***	***10.8%***			
Y/Y Foreign Exchange Impact	(2,939.0)	(1,605)	543	1,339	1,331	1,608.0	3,005	740	(516.3)	(337.9)	2,890.8	(3,059.3)	-
	-7%	-16%	-21%	-15%	-5%	-8%	-6%	14%	-20%	-20%	3%	-20%	-20%
Cash Flow Hedging Impact	211.0	260	(112)	(207)	(68)	(127.0)	(180)	106	103.3	67.6	96.8	611.9	-
FXHN Gross Revs. (based on year ago period)	**352,746.0**	**91,579**	**95,997**	**101,214**	**112,565**	**401,355.0**	**107,071**	**118,950**	**127,283.0**	**140,902.5**	**494,206.5**	**614,603.8**	**754,902.6**
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***23%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
BPS of Y/Y growth impacted by FX & Hedging	(97.6)	(177.2)	37.2	126.0	128.5	35.4	278.8	102.0	(15.3)	(16.4)	78.0	(63.9)	(12.4)
FX & Hedging Neutral Gross Revs. (based on last quarter)		**90,995**	**94,919**	**101,635**	**114,153**		**109,426**	**120,325**	**127,907.6**	**140,632.2**			
Q/Q growth (ex-FX & Hedging)		***-6%***	***5%***	***5%***	***12%***		***-4%***	***9%***	***6.9%***	***10.9%***			
BPS of Q/Q growth impacted by FX & Hedging		(80.8)	136.8	86.0	(31.8)		47.0	(30.2)	(96.1)	(9.0)			

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)													
Total Gross EMEA Revenue	**102,127.0**	**25,923**	**28,262**	**29,911**	**33,056**	**117,152.0**	**31,468**	**32,501**	**33,099.4**	**36,684.3**	**133,752.6**	**147,645.2**	**164,624.4**
Y/Y growth	***12.2%***	***9%***	***14%***	***17%***	***17%***	***14.7%***	***21%***	***15%***	***10.7%***	***11.0%***	***14.2%***	***10.4%***	***11.5%***
Q/Q growth		***-8%***	***9%***	***6%***	***11%***		***-5%***	***3%***	***1.8%***	***10.8%***			
Y/Y Foreign Exchange Impact	38.0	(724)	780	1,261	1,438	2,755.0	2,515	794	(401.0)	(338.4)	2,569.6	(1,890.3)	-
FXHN Gross Revs. (based on year ago period)	**102,089**	**26,647**	**27,482**	**28,650**	**31,618**	**114,397.0**	**28,953**	**31,707**	**33,500.3**	**37,022.7**	**131,183.0**	**149,535.5**	**164,624.4**
Y/Y growth (excl. FX & Hedging)	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***12%***	***12.0%***	***12.0%***	***12.0%***	***11.8%***	***11.5%***
BPS of Y/Y growth impacted by FX & Hedging	4.2	(304.4)	316.0	495.1	510.2	269.8	970.2	280.9	(134.0)	(102.4)	219.3	(141.3)	(0.0)
Y/Y growth in FX	*0.0%*	*-2.7%*	*2.8%*	*4.4%*	*4.5%*	*2.4%*	*8.7%*	*2.5%*	*-1.2%*	*-0.9%*	*2.0%*	*-1.3%*	*0.0%*
Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)													
Total Gross APAC Revenue	**56,815.0**	**14,854**	**16,480**	**17,819**	**18,527**	**67,680.0**	**18,288**	**19,317**	**20,965.5**	**21,897.7**	**80,468.2**	**94,875.8**	**112,143.2**
Y/Y growth	***10.3%***	***12%***	***19%***	***22%***	***22%***	***19.1%***	***23%***	***17%***	***17.7%***	***18.2%***	***18.9%***	***17.9%***	***18.2%***
Q/Q growth		***-2%***	***11%***	***8%***	***4%***		***-1%***	***6%***	***8.5%***	***4.4%***			
Y/Y Foreign Exchange Impact	(1,369.0)	(381)	115	128	(176)	(314.0)	134	(351)	(239.1)	(149.4)	(605.5)	(1,042.4)	-
FXHN Gross Revs. (based on year ago period)	**58,184**	**15,235**	**16,365**	**17,691**	**18,703**	**67,994.0**	**18,154**	**19,668**	**21,204.6**	**22,047.1**	**81,073.7**	**95,918.1**	**112,143.2**
Y/Y growth (excl. FX & Hedging)	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***19%***	***19.0%***	***19.0%***	***19.8%***	***19.2%***	***18.2%***
BPS of Y/Y growth impacted by FX & Hedging	(265.8)	(286.7)	83.2	88.0	(116.1)	(55.3)	90.2	(213.0)	(134.2)		(89.5)	(129.5)	(0.0)
Y/Y growth in FX	*-2.4%*	*-2.5%*	*0.7%*	*0.7%*	*-0.9%*	*-0.5%*	*0.7%*	*-1.8%*	*-1.1%*	*-0.7%*	*-0.7%*	*-1.1%*	*0.0%*
Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)													
Total Gross Other Americas Revenue	**20,418.0**	**5,233.0**	**5,735.0**	**6,065.0**	**6,869.0**	**23,902.0**	**6,345.0**	**7,026.0**	**7,219.8**	**8,186.7**	**28,777.4**	**33,255.1**	**38,409.7**
Y/Y growth	***11.5%***	***12%***	***16%***	***19%***	***20%***	***17.1%***	***21%***	***23%***	***19.0%***	***19.2%***	***20.4%***	***15.6%***	***15.5%***
Q/Q growth		***-9%***	***10%***	***6%***	***13%***		***-8%***	***11%***	***2.8%***	***13.4%***			
Y/Y Foreign Exchange Impact	(1,608.0)	(500.0)	(352.0)	(50.0)	69.0	(833.0)	356.0	297.0	123.7	149.9	926.7	(126.7)	-
FXHN Gross Revs. (based on year ago period)	**22,026**	**5,733**	**6,087**	**6,115**	**6,800**	**24,735.0**	**5,989**	**6,729**	**7,096.1**	**8,036.7**	**27,850.8**	**33,381.8**	**38,409.7**
Y/Y growth (excl. FX & Hedging)	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***17%***	***17.0%***	***17.0%***	***16.5%***	***16.0%***	***15.5%***
BPS of Y/Y growth impacted by FX & Hedging	(877.7)	(1,074.6)	(712.8)	(98.2)	120.3	(408.0)	680.3	517.9	204.0	218.3	387.7	(44.0)	0.0
Y/Y growth in FX	*-7.3%*	*-8.7%*	*-5.8%*		*1.0%*	*-3.4%*	*5.9%*	*4.4%*	*1.7%*	*1.9%*	*3.3%*	*-0.4%*	*0.0%*
Headcount													
Ending Full-time Headcount (ex-Motorola)	183,323	185,719	187,103	190,167	190,820	190,820	194,668	198,933	201,933	202,933	202,933	210,036	216,337
Y/Y growth	*0.4%*	*2.7%*	*4.2%*	*4.9%*	*4.1%*	*4.1%*	*4.8%*	*6.3%*	*6.2%*	*6.3%*	*6.3%*	*3.5%*	*3.0%*
Q/Q growth		*1.3%*	*0.7%*	*1.6%*	*0.3%*		*2.0%*	*2.2%*	*1.5%*	*0.5%*			
Absolute Sequential Change in Headcount	821	2,396	1,384	3,064	653	7,497	3,848	4,265	3,000	1,000	12,113	7,103	6,301

Source: J.P. Morgan estimates, Company data.

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Figure 4: Alphabet Segment Reporting

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
ALPHABET SEGMENT SUMMARY													
Revenues:													
Google Services	304,930	77,264	82,543	87,052	95,862	342,721	89,637	94,540	97,849	106,571	388,596	427,414	471,211
Google Cloud	43,229	12,260	13,624	15,157	17,664	58,705	20,028	24,768	28,495	33,562	106,853	181,650	281,557
Other Bets	1,648	450	373	344	370	1,537	411	382	423	432	1,648	1,869	2,135
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	106	103	68	97	612	0
Total Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**119,796**	**126,870**	**140,632**	**497,194**	**611,545**	**754,903**
Total Revenues ex-hedge	349,807	89,974	96,540	102,553	113,896	402,963	110,076	119,690	126,767	140,565	497,097	610,933	754,903
GAAP Operating Income (Loss):													
Google Services	121,263	32,682	33,063	33,527	40,132	139,404	40,589	39,544	42,564	45,825	168,523	188,917	210,160
Google Cloud	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
Other Bets	(4,444)	(1,226)	(1,246)	(1,426)	(3,617)	(7,515)	(2,100)	(1,799)	(1,974)	(4,424)	(10,297)	(10,916)	(11,375)
Corporate costs, unallocated	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
Total Income from Operations	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,569**	**45,598**	**169,633**	**211,041**	**265,216**
Margins:													
Google Services	39.8%	42.3%	40.1%	38.5%	41.9%	40.7%	45.3%	41.8%	43.5%	43.0%	43.4%	44.2%	44.6%
Google Cloud	14.1%	17.8%	20.7%	23.7%	30.1%	23.7%	32.9%	35.6%	31.0%	34.5%	33.5%	34.5%	37.0%
Other Bets	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-470.9%	-466.8%	-1023.2%	-624.7%	-584.0%	-532.8%
Corporate costs, unallocated (% of total revenues)	-3.0%	-3.4%	-3.5%	-4.4%	-5.2%	-4.2%	-4.9%	-4.8%	-4.6%	-5.2%	-4.9%	-4.8%	-5.0%
Total Income from Operations	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
SEGMENT ANALYSIS													
GOOGLE SERVICES													
Revenue	304,930	77,264	82,543	87,052	95,862	342,721	89,637	94,540	97,849	106,571	388,596	427,414	471,211
TAC	54,900	13,748	14,705	14,876	16,597	59,926	15,228	16,179	16,289	17,726	65,422	71,108	77,641
Net Revenue	250,030	63,516	67,838	72,176	79,265	282,795	74,409	78,361	81,560	88,844	323,174	356,306	393,570
GAAP Costs & Opex	128,767	30,834	34,775	38,649	39,133	143,391	33,820	38,817	38,996	43,019	154,651	167,389	183,410
GAAP Operating Income	121,263	32,682	33,063	33,527	40,132	139,404	40,589	39,544	42,564	45,825	168,523	188,917	210,160
OI&E	3,493	1,465	1,459	2,199	881	6,004	801	(1,048)	537	594	884	(1,807)	(7,880)
Income before taxes	124,756	34,147	34,522	35,726	41,013	145,408	41,390	38,496	43,101	46,419	169,407	187,110	202,280
Income Tax	19,697	7,249	5,737	9,008	4,662	26,656	14,834	26,560	7,498	7,853	56,745	35,570	43,747
GAAP Net Income	105,059	26,898	28,785	26,718	36,351	118,752	26,556	11,936	35,603	38,567	112,662	151,540	158,533
GAAP EPS	$8.44	$2.19	$2.36	$2.19	$2.97	$9.71	$2.17	$0.97	$2.86	$3.08	$9.10	$11.95	$12.38
D&A	10,490					13,709					18,264	25,217	36,754
SBC	16,161					17,205					19,430	21,285	23,231
Adj. EBITDA	147,914					170,317					206,216	235,420	270,145
Costs & Expenses As % of Revenue													
TAC	18.0%	17.8%	17.8%	17.1%	17.3%	17.5%	17.0%	17.1%	16.6%	16.6%	16.8%	16.6%	16.5%
GAAP Costs & Opex	42.2%	39.9%	42.1%	44.4%	40.8%	41.8%	37.7%	41.1%	39.9%	40.4%	39.8%	39.2%	38.9%
D&A	3.4%					4.0%					4.7%	5.9%	7.8%
SBC	5.3%					5.0%					5.0%	5.0%	4.9%
Margins			excl. EC fine	**42.5%**		**41.7%**							
GAAP Operating Income	**39.8%**	**42.3%**	**40.1%**	**38.5%**	**41.9%**	**40.7%**	**45.3%**	**41.8%**	**43.5%**	**43.0%**	**43.4%**	**44.2%**	**44.6%**
GOOGLE CLOUD													
Revenue	43,229	12,260	13,624	15,157	17,664	58,705	20,028	24,768	28,495	33,562	106,853	181,650	281,557
GAAP Costs & Opex	37,117	10,083	10,798	11,563	12,351	44,795	13,430	15,954	19,662	21,983	71,029	118,981	177,381
GAAP Operating Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
OI&E	0	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
GAAP EPS	$0.49	$0.18	$0.23	$0.29	$0.43	$1.14	$0.54	$0.72	$0.71	$0.92	$2.89	$4.94	$8.14
D&A	4,409					6,927					14,532	34,132	64,082
SBC	5,879					6,927					11,273	14,169	17,569
Adj. EBITDA	16,401					27,764					61,629	110,970	185,828
Costs & Expenses As % of Revenue													
GAAP Costs & Opex	85.9%	82.2%	79.3%	76.3%	69.9%	76.3%	67.1%	64.4%	69.0%	65.5%	66.5%	65.5%	63.0%
D&A	10%					12%					14%	19%	23%
SBC	14%					12%					11%	8%	6%
Margins													
GAAP Operating Income	**14.1%**	**17.8%**	**20.7%**	**23.7%**	**30.1%**	**23.7%**	**32.9%**	**35.6%**	**31.0%**	**34.5%**	**33.5%**	**34.5%**	**37.0%**
OTHER BETS													
Revenue	1,648	450	373	344	370	1,537	411	382	423	432	1,648	1,869	2,135
GAAP Costs & Opex	6,092	1,676	1,619	1,770	3,987	9,052	2,511	2,181	2,397	4,856	11,945	12,785	13,510
Non-GAAP Costs & Opex	4,935					7,731					10,480	11,121	11,567
GAAP Operating Income	**(4,444)**	**(1,226)**	**(1,246)**	**(1,426)**	**(3,617)**	**(7,515)**	**(2,100)**	**(1,799)**	**(1,974)**	**(4,424)**	**(10,297)**	**(10,916)**	**(11,375)**
OI&E	3,932	9,718	1,203	10,560	2,302	23,783	36,915	99,031	0	0	135,946	0	0
Income before taxes	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	97,232	(1,974)	(4,424)	125,649	(10,916)	(11,375)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	97,232	(1,974)	(4,424)	125,649	(10,916)	(11,375)
GAAP EPS	($0.04)	$0.69	($0.00)	$0.75	($0.11)	$1.33	$2.84	$7.90	($0.16)	($0.35)	$10.15	($0.86)	($0.89)
D&A	412					500					563	639	752
SBC	745					821					902	1,026	1,190
Adj. EBITDA	(3,287)					(6,194)					(8,832)	(9,251)	(9,433)
Costs & Expenses As % of Revenue													
GAAP Costs & Opex	370%	372%	434%	515%	1078%	589%	611%	571%	567%	1123%	725%	684%	633%
Margins													
GAAP Operating Income	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-470.9%	-466.8%	-1023.2%	-624.7%	-584.0%	-532.8%
RECONCILING ITEMS													
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	106	103	68	97	612	0
Corporate costs, unallocated	**8,965**	**3,287**	**3,260**	**3,653**	**5,826**	**16,026**	**5,211**	**5,895**	**5,958**	**7,450**	**24,514**	**30,241**	**37,745**
One-time items	1,787	0	0	607	0	607	0	0	0	0	0	0	0
GAAP Operating Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
OI&E	0	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
GAAP EPS	($0.85)	($0.25)	($0.28)	($0.37)	($0.48)	($1.37)	($0.44)	($0.47)	($0.47)	($0.59)	($1.97)	($2.34)	($2.95)
As % of Alphabet Total Revenue ex-hedge													
Corporate costs, unallocated	2.56%	3.65%	3.38%	3.56%	5.12%	3.98%	4.73%	4.93%	4.70%	5.30%	4.93%	4.95%	5.00%

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Alphabet *(Overweight; Price Target: $420.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is healthy runway across Search & YT ads as AI drives higher ROI. Non-Ad businesses, incl. Cloud & YouTube subscription services, have significant headroom & momentum, and companies within Other Bets, incl. Waymo, provide option value. We remain confident Google's AI full stack advantage & in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
Our December 2027 price target of $420 is based on 25x our '28E GAAP EPS of $16.66, which ex-cash equates to ~24x our '28E GAAP EPS ex-Other Bets of $17.54. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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Investment Thesis, Valuation and Risks

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We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

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Alphabet: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**497,194**	**611,545**	**754,903**
COGS	(162,535)	(194,901)	(245,669)	(311,296)
Gross profit	**240,301**	**302,293**	**365,876**	**443,606**
SG&A	(46,718)	(57,397)	(65,663)	(73,415)
Adj. EBITDA	**178,585**	**234,597**	**307,509**	**408,795**
D&A	(21,136)	(33,359)	(59,988)	(101,589)
Adj. EBIT	**157,449**	**201,238**	**247,520**	**307,206**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**338,068**	**245,713**	**299,326**
Tax	(26,656)	(56,745)	(35,570)	(43,747)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,154**	**211,246**	**258,928**
Reported EPS	10.81	20.16	13.67	16.66
Adj. EPS	**11.04**	**13.75**	**16.67**	**20.22**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	4.3%	6.4%	5.3%
Shares outstanding	12,230	12,376	12,676	12,803

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**109,896A**	**119,796A**	**126,870**	**140,632**
COGS	(41,271)A	(45,943)A	(50,016)	(57,671)
Gross profit	**68,625A**	**73,853A**	**76,854**	**82,961**
SG&A	(11,897)A	(14,864)A	(14,044)	(16,592)
Adj. EBITDA	**52,929A**	**55,831A**	**60,820**	**65,017**
D&A	(6,482)A	(7,104)A	(8,957)	(10,816)
Adj. EBIT	**46,447A**	**48,727A**	**51,862**	**54,201**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**146,710A**	**52,400**	**54,795**
Tax	(14,834)A	(26,560)A	(7,498)	(7,853)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,470A**	**44,518**	**46,503**
Reported EPS	5.11A	9.11A	2.94	3.06
Adj. EPS	**3.16A**	**3.29A**	**3.58**	**3.71**
DPS	**0.21A**	**0.22A**	**0.22**	**0.22**
Payout ratio	4.1%A	2.4%A	7.5%	7.2%
Shares outstanding	12,238A	12,309A	12,440	12,518

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	52,591	80,356	79,104
Accounts receivable	62,886	78,045	97,687	122,419
Inventories	2,439	13,520	21,617	27,090
Other current assets	110,005	204,096	108,508	34,064
Current assets	**206,038**	**348,251**	**308,169**	**262,677**
PP&E	246,597	425,557	743,874	1,098,082
LT investments	-	-	-	-
Other non current assets	142,646	236,449	241,209	247,202
Total assets	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
Short term borrowings	0	0	0	0
Payables	12,200	15,422	19,303	24,190
Other short term liabilities	90,545	107,756	134,875	169,022
Current liabilities	**102,745**	**123,177**	**154,178**	**193,211**
Long-term debt	46,547	96,165	155,165	212,523
Other long term liabilities	30,724	57,227	56,435	55,643
Total liabilities	**180,016**	**276,569**	**365,778**	**461,377**
Shareholders' equity	415,265	733,688	927,474	1,146,584
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
BVPS	**33.95**	**59.28**	**73.17**	**89.56**
y/y Growth	*30.0%*	*74.6%*	*23.4%*	*22.4%*
Net debt/(cash)	15,839	43,574	74,809	133,419
Cash flow from operating activities	**164,713**	**206,293**	**263,428**	**353,656**
o/w Depreciation & amortization	21,136	33,359	59,988	101,589
o/w Changes in working capital	618	(3,285)	(6,704)	(3,512)
Cash flow from investing activities	**(120,291)**	**(269,940)**	**(278,306)**	**(375,797)**
o/w Capital expenditure	(91,447)	(204,716)	(378,306)	(455,797)
as % of sales	*22.7%*	*41.2%*	*61.9%*	*60.4%*
Cash flow from financing activities	**(37,388)**	**85,683**	**42,643**	**20,889**
o/w Dividends paid	-	(10,722)	(11,155)	(11,266)
o/w Net debt issued/(repaid)	32,138	(7,253)	59,000	57,358
Net change in cash	**7,242**	**21,883**	**27,765**	**(1,252)**
Adj. Free cash flow to firm	**73,266**	**1,578**	**(114,878)**	**(102,141)**
y/y Growth	*0.7%*	*(97.8%)*	*(7381.9%)*	*(11.1%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	60.8%	59.8%	58.8%
EBITDA margin	44.3%	47.2%	50.3%	54.2%
EBIT margin	39.1%	40.5%	40.5%	40.7%
Net profit margin	33.5%	34.2%	34.5%	34.3%
ROE	36.5%	29.6%	25.4%	25.0%
ROA	25.8%	21.2%	18.3%	17.8%
ROCE	33.9%	25.9%	22.1%	21.5%
SG&A/Sales	11.6%	11.5%	10.7%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	30.9	24.8	20.4	16.8
P/BV (x)	10.0	5.7	4.7	3.8
EV/EBITDA (x)	23.7	18.1	13.9	10.6
Dividend Yield	0.2%	0.3%	0.3%	0.3%
Sales/Assets (x)	0.8	0.6	0.5	0.5
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	118.7%	100.0%	102.9%
Revenue y/y Growth	15.1%	23.4%	23.0%	23.4%
EBITDA y/y Growth	18.7%	31.4%	31.1%	32.9%
Tax rate	14.2%	16.8%	14.5%	14.6%
Adj. Net Income y/y Growth	15.6%	26.1%	24.2%	22.6%
EPS y/y Growth	17.7%	24.6%	21.2%	21.4%
DPS y/y Growth	38.9%	5.4%	1.6%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Revenue	**402,836**	**497,194**	**611,545**	**754,903**
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SG&A	(46,718)	(57,397)	(65,663)	(73,415)
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D&A	(21,136)	(33,359)	(59,988)	(101,589)
Adj. EBIT	**157,449**	**201,238**	**247,520**	**307,206**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**338,068**	**245,713**	**299,326**
Tax	(26,656)	(56,745)	(35,570)	(43,747)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,154**	**211,246**	**258,928**
Reported EPS	10.81	20.16	13.67	16.66
Adj. EPS	**11.04**	**13.75**	**16.67**	**20.22**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	4.3%	6.4%	5.3%
Shares outstanding	12,230	12,376	12,676	12,803

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
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Gross profit	**68,625A**	**73,853A**	**76,854**	**82,961**
SG&A	(11,897)A	(14,864)A	(14,044)	(16,592)
Adj. EBITDA	**52,929A**	**55,831A**	**60,820**	**65,017**
D&A	(6,482)A	(7,104)A	(8,957)	(10,816)
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Tax	(14,834)A	(26,560)A	(7,498)	(7,853)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,470A**	**44,518**	**46,503**
Reported EPS	5.11A	9.11A	2.94	3.06
Adj. EPS	**3.16A**	**3.29A**	**3.58**	**3.71**
DPS	**0.21A**	**0.22A**	**0.22**	**0.22**
Payout ratio	4.1%A	2.4%A	7.5%	7.2%
Shares outstanding	12,238A	12,309A	12,440	12,518

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	52,591	80,356	79,104
Accounts receivable	62,886	78,045	97,687	122,419
Inventories	2,439	13,520	21,617	27,090
Other current assets	110,005	204,096	108,508	34,064
Current assets	**206,038**	**348,251**	**308,169**	**262,677**
PP&E	246,597	425,557	743,874	1,098,082
LT investments	-	-	-	-
Other non current assets	142,646	236,449	241,209	247,202
Total assets	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
Short term borrowings	0	0	0	0
Payables	12,200	15,422	19,303	24,190
Other short term liabilities	90,545	107,756	134,875	169,022
Current liabilities	**102,745**	**123,177**	**154,178**	**193,211**
Long-term debt	46,547	96,165	155,165	212,523
Other long term liabilities	30,724	57,227	56,435	55,643
Total liabilities	**180,016**	**276,569**	**365,778**	**461,377**
Shareholders' equity	415,265	733,688	927,474	1,146,584
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
BVPS	**33.95**	**59.28**	**73.17**	**89.56**
y/y Growth	*30.0%*	*74.6%*	*23.4%*	*22.4%*
Net debt/(cash)	15,839	43,574	74,809	133,419
Cash flow from operating activities	**164,713**	**206,293**	**263,428**	**353,656**
o/w Depreciation & amortization	21,136	33,359	59,988	101,589
o/w Changes in working capital	618	(3,285)	(6,704)	(3,512)
Cash flow from investing activities	**(120,291)**	**(269,940)**	**(278,306)**	**(375,797)**
o/w Capital expenditure	(91,447)	(204,716)	(378,306)	(455,797)
as % of sales	*22.7%*	*41.2%*	*61.9%*	*60.4%*
Cash flow from financing activities	**(37,388)**	**85,683**	**42,643**	**20,889**
o/w Dividends paid	(10,050)	(10,722)	(11,155)	(11,266)
o/w Net debt issued/(repaid)	32,138	(7,253)	59,000	57,358
Net change in cash	**7,242**	**21,883**	**27,765**	**(1,252)**
Adj. Free cash flow to firm	**73,266**	**1,578**	**(114,878)**	**(102,141)**
y/y Growth	*0.7%*	*(97.8%)*	*(7381.9%)*	*(11.1%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	60.8%	59.8%	58.8%
EBITDA margin	44.3%	47.2%	50.3%	54.2%
EBIT margin	39.1%	40.5%	40.5%	40.7%
Net profit margin	33.5%	34.2%	34.5%	34.3%
ROE	36.5%	29.6%	25.4%	25.0%
ROA	25.8%	21.2%	18.3%	17.8%
ROCE	33.9%	25.9%	22.1%	21.5%
SG&A/Sales	11.6%	11.5%	10.7%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	31.2	25.0	20.6	17.0
P/BV (x)	10.1	5.8	4.7	3.8
EV/EBITDA (x)	23.7	18.1	13.9	10.6
Dividend Yield	0.2%	0.3%	0.3%	0.3%
Sales/Assets (x)	0.8	0.6	0.5	0.5
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	118.7%	100.0%	102.9%
Revenue y/y Growth	15.1%	23.4%	23.0%	23.4%
EBITDA y/y Growth	18.7%	31.4%	31.1%	32.9%
Tax rate	14.2%	16.8%	14.5%	14.6%
Adj. Net Income y/y Growth	15.6%	26.1%	24.2%	22.6%
EPS y/y Growth	17.7%	24.6%	21.2%	21.4%
DPS y/y Growth	38.9%	5.4%	1.6%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet (GOOG, GOOG US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
13-Dec-23	OW	133.64	160
31-Jan-24	OW	153.05	165
26-Apr-24	OW	157.95	200
24-Jul-24	OW	183.60	208
30-Oct-24	OW	171.14	212
18-Dec-24	OW	197.12	232
05-Feb-25	OW	207.71	220
08-Apr-25	OW	149.24	180
25-Apr-25	OW	161.47	195
11-Jul-25	OW	178.70	200
24-Jul-25	OW	191.51	232
03-Sep-25	OW	211.99	260
27-Oct-25	OW	260.51	300
30-Oct-25	OW	275.17	340
12-Dec-25	OW	313.70	385
05-Feb-26	OW	333.34	395
30-Apr-26	OW	347.31	460
23-Jul-26	OW	341.91	420

Alphabet Inc. (GOOGL, GOOGL US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
13-Dec-23	OW	132.52	160
31-Jan-24	OW	151.46	165
26-Apr-24	OW	156.00	200
24-Jul-24	OW	181.79	208
30-Oct-24	OW	169.68	212
18-Dec-24	OW	195.42	232
05-Feb-25	OW	206.38	220
08-Apr-25	OW	146.75	180
25-Apr-25	OW	159.28	195
11-Jul-25	OW	177.62	200
24-Jul-25	OW	190.23	232
03-Sep-25	OW	211.35	260
27-Oct-25	OW	259.92	300
30-Oct-25	OW	274.57	340
12-Dec-25	OW	312.43	385
05-Feb-26	OW	333.04	395
30-Apr-26	OW	349.94	460
23-Jul-26	OW	342.09	420

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